

Subject Name :
Entrepreneurship Development

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Unit 4 : Entrepreneurial Project Development (Business Plan)



Content

- Process of generating business ideas, screening and selection
- Environmental Scanning and opportunity identification (SWOT and PESTEL analysis),
- Introduction to IPR

- Business Planning and Feasibility study

Meaning & importance of Business Plan, Elements of Business Plan, Meaning of Feasibility study, Purpose of Feasibility study, Types of Feasibility study, Benefits of conducting feasibility study



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Process of generating business ideas, screening and selection



Want to start A New Business?

Job or Business ? Which is better of the two?

Ideas ? Generate ideas - Finalize the Idea

Businesses and start-ups are usually the actual, physical outcome of the ideas generated and harboured by entrepreneurs.

Turn it into Business....But How?

Meticulous planning



Business Idea

- It is a concept which when clearly worked out can earn money.
- It centres around a product or service that can be offered for a money.
- It is the first milestone while establishing a business.
- A business idea has no commercial value initially.
- At the early stage most of the business idea remain in an abstract phase.
- Usually this exists only with the creator, investor .
- All business idea may not end up being feasible and profit making.



Characteristics of a promising business idea

- Relevant
- Innovative
- Unique
- Clear Focus
- Profitable in long term.
- Example: FedEx replaced the same services of post office through better logistic system of 24 hour operations becoming world's best logistic company.



Three Main Stages of Process of Business Idea

☐ Idea Generation

Idea generation involves identifying new concepts, products, services, or improvements that can be converted into business opportunities.

☐ Idea Evaluation

At this stage, entrepreneurs analyze and filter the generated ideas to select the most feasible one.

☐ Idea Implementation

At this stage, the selected idea is converted into an actual business plan and implemented.



IDEA Generation

What is idea generation and why it's important?

Idea generation is described as the process of creating, developing and communicating abstract, concrete or visual ideas.

It's the front end part of the idea management funnel and it focuses on coming up with possible solutions to perceived or actual problems and opportunities.

Sources of new Idea

- A. Consumers
- B. Existing companies
- C. Distribution channel
- D. Government
- E. Research and Development



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Conditions which a business idea need to meet

- Benefit to the customer
- Acceptability from the market
- Should have a good business model which can make revenue.



IDEA Generation Techniques

There are several methods to help generate and test new ideas as a basis for the new venture.

1. Creative Problem Solving

Creativity problem solving is important in identifying a new product, but personal creativity declines with age, education, lack of use.

2. Brainstorming

Brainstorming the most widely used technique, can generate possible ideas about a problem in a limited time through spontaneous contributions of participants.



IDEA Generation Techniques contd....

3. Reverse Brainstorming

Reverse Brainstorming is a **technique** that builds on our natural ability to more easily see problems than solutions. Instead of asking a group to **brainstorm ideas** that would work, the group brainstorms all the ways that they could cause a plan to fail.

This technique is used because it can be easier to criticize and see gaps in a plan than to outline a strategy for success. Once the group has this list, they can look at these specific examples and come up with ways to achieve the opposite effect.

e.g. : Identifying customer needs by brainstorming a negative question.



4. Brainwriting

Brainwriting is easy. Instead of asking the participants to shout out ideas, they are told to pen down their ideas pertaining to a specific problem or question on sheets of paper, for a small number of minutes. After that, each participant can pass their ideas over to someone else. This someone else reads the ideas on the paper and adds some new ones. Following another few minutes, the individual participants are again made to pass their papers to someone else and so the process continues. After about 15 minutes, you or someone else can collect the sheets from them and post them for instant discussion.



IDEA Generation Techniques contd....

5. Free Association:

Free association is a method of developing new idea through a chain or a cycle of word association. The process involve a word relating to the problem being written down, then another and another. Participant says whatever comes into his mind relative to a word he just wrote or relative to a key word definition of a problem. Creating a semantic relationship between every word from the obtained list of associations and the problem might help to find useful analogy, which contains creative ideas and could lead to solutions.

For example: Phone – waves, computer, music, art, hand, light, heat, vibrations, jacket, world, artificial intelligence, chain, energy, weapon, robot ... (The “phone – weapon” and “phone-robot” bundles also can generate several powerful ideas for improving the device and giving it a new functions).



IDEA Generation Techniques contd....

6. Forced Relationship

It is an easy technique involving the joining of totally different ideas to come up with a fresh idea. Though the solution may not be strictly unique, it frequently results in an assortment of combinations that are often useful. A lot of products we see today are the output of forced relationships .

e.g.

Digital watch that also has a calculator, musical birthday cards etc.



IDEA Generation Techniques contd....

7. Daydreaming

Daydreaming is truly one of the most fundamental ways to trigger great ideas. The word “daydream” itself involuntarily triggers an uninhibited and playful thought process, incorporating the participant’s creativity and resourcefulness to play around with the present problem. It enables a person to establish an emotional connection with the problem, which is beneficial in terms of coming up with a wonderful idea. The focus of productive daydreaming is a particular goal irrespective of whether it seems to be an impractical task. Plenty of famous inventors have engaged in daydreaming in the past, thereby setting off ideas that contributed to life altering inventions.

e.g.

The airplane is the most notable example for this. If the Wright brothers had not let their imagination run wild thinking about flight, we would probably still be traveling by ferry.



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8. Mindmapping

Mindmapping is a graphical technique for imagining connections between various pieces of information or ideas. Each fact or idea is written down and then connected by curves or lines to its minor or major (previous or following) fact or idea, thus building a web of relationships.

Mind mapping is utilized in brainstorming, project planning, problem solving and note taking.



Process of generating Business idea

1. Generate some ideas:

Write down any ideas that occur to you. Think big and don't hold back. Sit down for an hour and fill a page with ideas or take a week to jot down every idea as it comes to you.

2. Select the best idea:

Review your list and choose the best one. Don't delete your list, though. You may want to come back to it if your first choice doesn't pan out.

3. Research your idea:

Find out everything you can about your idea: what's currently being used in the market, who the top competitors are, and what you'll need to do to turn your idea into a reality.



Process of generating Business idea Contd....

4. Refine your idea:

Based on your research, modify your concept as needed. If the idea won't work or if it fails the last two steps, pick another one and try, try, try again.

5. Test your idea:

Do some preliminary market research to see if there is a need or interest in your idea and to identify potential competitors. Start developing a prototype if your idea is a physical product.

6. Identify your market:

If your idea is viable, it's now time to determine whether people will pay for it – and how much they might pay. This requires in-depth market research to determine who is seriously interested.



Idea Screening and selection

Develop a set of criteria to evaluate your ideas against. Your criteria might include:

- most prominently identified customer needs
- product improvements most needed
- the benefits to your target market
- the technical feasibility of the idea
- the level and scope of research and development required
- the profitability of the idea. What is its potential appeal to the market? How would you price it? What are the costs in bringing it to market — overall and per unit?
- where the product fits in the market. Is there a gap? How close is it to competitor products?
- the resources it will require in development
- the marketing potential of the idea
- the fit with your business profile and business objectives.



Environmental Scanning and opportunity identification (SWOT and PESTEL analysis),



Environmental Scanning

The process of collecting, analyzing and distributing information for tactical strategic purposes inside the organisation is called as environmental scanning.

Environmental Scanning refers to the systematic process of collecting, analyzing, and interpreting information about the internal and external environment of a business. It helps organizations understand factors that influence their operations and future strategies.



Need and importance of environmental scanning

- **Identification of strength** -strong resources, technology, brand reputation, skilled employees, or financial capability.

Apple Inc. continuously scans the technological environment and identifies its strength in **innovation, strong brand loyalty, and advanced product design.**

- **Identification of weakness** - outdated technology, limited financial resources, poor management, or lack of skilled employees. – **Nokia, Small start ups**
- **Identification of opportunities** - New markets, technological advancements, government incentives, or changing consumer preferences. – **Tata Motors, Amazon**
- **Identification of threat** -increasing competition, economic slowdown, regulatory changes, or technological disruptions. **Traditional Taxi Service, Doordarshan**



Need and importance of environmental scanning

- **Optimum use of resources** - allocate their financial, human, and technological resources effectively by understanding where opportunities and challenges exist.
- **Survival and growth** - Organizations must continuously adapt to environmental changes to survive and grow in competitive markets.

Netflix initially started as a DVD rental service, but through environmental scanning it identified the shift toward digital streaming and transformed its business model into an online streaming platform.

- **To plan long-term business strategy** - Tesla
- **Environmental scanning aids decision making** -informed and rational decisions regarding investments, product development, expansion, or risk management. - **IKEA**



Purpose of Environmental Scanning

- Conveys both current environmental status and how it is changing in trends
- Alerts planners to trends that are converging, diverging, interacting, accelerating or decelerating.
- Allows for adaptive planning before these trends occur or fully develop.
- Often refers only to the environment external to the organisation
- Good strategic planning requires information on internal organisational factors



SWOT Analysis

A SWOT analysis can help you to identify the strengths and weaknesses of each idea. SWOT Analysis is a method for analysing a business, its resources and its environment.

- Internal strength
- Internal weaknesses
- Opportunities in the external environment
- Threats in the external environment



PESTEL Analysis

PESTEL Analysis is a framework used to analyze the **macro-environmental factors** that affect an organization. It helps businesses understand external forces that influence strategic decisions.

PESTEL stands for:

- P** – Political
- E** – Economic
- S** – Social
- T** – Technological
- E** – Environmental
- L** – Legal



PESTEL Analysis

1. Political Factors

These include **government policies, political stability, taxation policies, and trade regulations.**

Example:

Government incentives for electric vehicles in India support companies like Tata Motors in expanding their EV business.

2. Economic Factors

These include **economic growth, inflation, interest rates, unemployment, and purchasing power of consumers.**

Example:

Economic growth and rising middle-class income increase demand for automobiles produced by Maruti Suzuki.



PESTEL Analysis

3. Social Factors

These refer to **cultural trends, lifestyle changes, population growth, education level, and consumer attitudes.**

Example:

Growing health awareness among consumers has increased demand for products offered by Patanjali Ayurved.

4. Technological Factors

Technological factors include **innovation, automation, digitalization, research and development, and technological change.**

Example:

Advancements in digital payments have supported the growth of platforms like Paytm.



PESTEL Analysis

5. Environmental Factors

These include climate change, sustainability concerns, environmental regulations, and eco-friendly practices.

6. Legal Factors

Legal factors include laws and regulations related to labor, consumer protection, safety standards, and intellectual property.



Introduction to IPR

Intellectual property (IP) pertains to any original creation of the human intellect such as artistic, literary, technical, or scientific creation.

Intellectual property rights (IPR) refers to the legal rights given to the inventor or creator to protect his invention or creation for a certain period of time. ...

Thus **IPR**, in this way aids the economic development of a country by promoting healthy competition and encouraging industrial development and economic growth.



Types of Intellectual Properties

(i) Patents:

A patent protects **new technological inventions, algorithms, systems, or processes.**

Example:

Google has patented many technologies related to **search algorithms, artificial intelligence, and data processing systems.**

Another example is IBM, which holds thousands of patents in **cloud computing, artificial intelligence, and database technologies.**



Types of Intellectual Properties

(ii) **Industrial designs** relates to features of any shape, configuration, surface pattern, composition of lines and colors applied to an article whether 2-D, e.g., textile, or 3-D, e.g., toothbrush

(iii) **Trademarks** relate to any mark, name, or logo under which trade is conducted for any product or service and by which the manufacturer or the service provider is identified. Trademarks can be bought, sold, and licensed. Trademark has no existence apart from the goodwill of the product or service it symbolizes



Types of Intellectual Properties

(iv) **Copyright relates to expression of ideas** in material form and includes literary, musical, dramatic, artistic, cinematography work, audio tapes, and computer software.

Software programs and source codes are protected under copyright law.

example: Operating systems such as Microsoft Windows developed by Microsoft are protected by copyright. Unauthorized copying or distribution is illegal.

Another example is Adobe Photoshop developed by Adobe Inc., where the **source code and software interface are copyrighted.**



Types of Intellectual Properties

Trade Secrets in the IT Industry

Trade secrets include **confidential algorithms, source codes, or business processes** that give companies a competitive advantage.

Example:

Netflix keeps its **recommendation algorithm** as a trade secret to provide personalized movie suggestions.

Another example is Amazon, which protects its **product recommendation and logistics algorithms**.



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Business Planning and Feasibility study



Business Plan Definition:

A **Business Plan** is a formal written document containing the goals of a **business**, the methods for attaining those goals, and the time-frame for the achievement of the goals.

A written document describing the nature of the **business**, the sales and marketing strategy, and the financial background, and containing a projected profit and loss statement. A **business plan** is also a road map that provides directions so a **business** can **plan** its future and helps it avoid bumps in the road.



What is the purpose of a Business Plan?

The purpose of a Business Plan is :

- To identify, describe and analyze a business opportunity and/or a business already under way, examining its technical, economic and financial feasibility.
- Moreover, it should serve as a business card for introducing the business to others: banks, investors, institutions, public bodies or any other agent involved, when it comes time to seek cooperation or financial support of any kind.



Why is a business plan important?

Business plan is a very important and strategic tool for entrepreneurs. A good business plan not only helps entrepreneurs focus on the specific steps necessary for them to make business ideas succeed, but it also helps them to achieve short-term and long-term objectives. Benjamin Franklin once said, "If you fail to plan, you are planning to fail." ([Benjamin Franklin](#)).

To raise funds from institutional investors and lenders, keep in mind that having a good business plan is extremely valuable. A well-documented plan that speaks for itself. It needs to be clear and easy to read and understand.



Who Needs a Business Plan

- ☐ Start-ups
- ☐ Established firms seeking help



Types of Plans

- ☐ The Miniplan
- ☐ The working Plan
- ☐ The presentation Plan
- ☐ The Electronic Plan



Types of Plans

The Miniplan

- It consists of one to 10 pages.
- It includes business concept, financing needs, marketing plan, cash flow, income projection, balance sheet.
- It also serve as a valuable prelude to a full length plan later on.
- Miniplan can not be send to an investor who's looking for a comprehensive one.



Types of Plans

The Working plan

- It is a tool to be used to operate a business.
- It is a detailed one but short on presentation.
- This plan is intended strictly for internal use. May also omit some elements that would be important for someone outside the firm.
- Fit and finish is different in a working plan. No need to include product photos or resumes of executives.
- Its not essential that a working plan be printed on high quality paper and enclosed in a fancy binder.
- Internal consistency of facts and figures is crucial with a working plan.



Types of Plans

The Presentation plan

- This plan is suitable for showing to bankers and investors.
- The standard business vocabulary is used, informal jargons are omitted.
- Unlike the working plan, this plan is not being used as a reminder but as an introduction.
- Information on all competitive threats and risks.
- The big difference between presentation and working plan is in the details of appearance and polish.
- It should include graphics such as charts, graphs, tables and illustrations.
- It is essential to be accurate and internally consistent.



Types of Plans

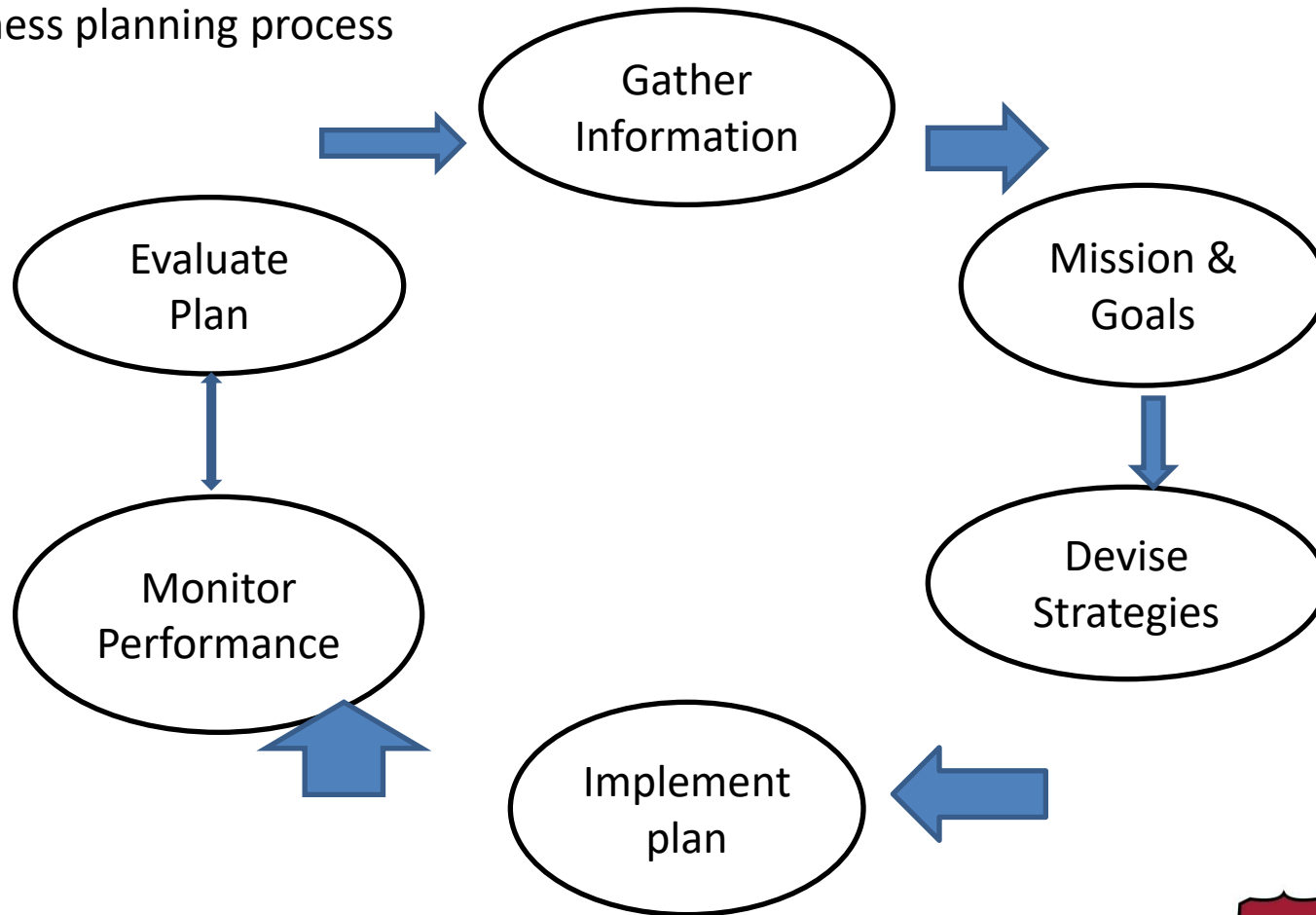
The Electronic plan

- The majority of business plans are composed on a computer, then printed out and presented in hardcopy.
- Business information is transferred between parties electronically.
- Its an appropriate to have an electronic version of plan.
- It is handy to satisfy demands of a discriminating investor.



Business Planning Process

An Overview of traditional business planning process



Elements of Business Plan

- ☐ **Business Description**
- ☐ **Market Analysis**
- ☐ **Competitor Assessment**
- ☐ **Marketing Plan**
- ☐ **Operating Plan**
- ☐ **Financial Plan**
- ☐ **Executive Summary**



Elements of Business Plan

1. Business Description:

It provides an overview of the business and its objectives.

a) Mission Statement :

Mission statement is written to outline intentions and motivations.

It communicates the purpose and principles of what you are doing and why you are doing it.

3 key questions in mission statement:

1. What are the opportunities or needs that you exist to address?(purpose of the venture)
2. What are you doing to address these needs?(the business of the venture)
3. What principles or beliefs guide your work? (the values of the venture)

Mission is the beacon for venture.

Communicating mission with clarity is important because goals, actions, time will be guided by this statement.



Elements of Business Plan

b) Business Overview :

- It is the summary of the current state of the venture.
- What type of legal structure it is (sole proprietorship, partnership, corporation).
- Provide a definition of the business – manufacturer, retailer, wholesaler, service provider, or some combination?
- Will it be started from scratch / as an expansion / acquisition?

c) Products and Services:

Description of what your product or service is to provide.



Elements of Business Plan

2. Market Analysis:

It describes market's characteristics, target customer's profile, the competition.

a) Market Characteristics :

- Type of an industry, its size, location, history, competitiveness, profitability and its general health.
- Market research is the foundation for forecasting sales levels.
- Supplier power (suppliers' bargaining power and leverage)
- New competitors (the threat of entry of new rivals)
- Substitute products
- Buyer power (buyers' bargaining power and leverage)
- Industry rivalry (intensity of rivals and a competitive advantage)
- Government regulations and policies



Elements of Business Plan

b) Target Customer Profile :

- Range of potential customers (willing to and able to buy the product)
- Define target customer quantitatively and qualitatively.
- Demographic and Psychographic information.
- Customers – local/regional/national or international?
- Customers – Young/old/male/female/high income/low income?
- Behavioural characteristics – price shoppers / convenience shoppers.
- Cultural considerations, social connections affects needs, wants.
- Do Business customers' needs differ by industry?
- Do Business customers in different regions have different needs?
- Who has purchasing decision in business, their job function, who influences their decision? Knowledge of product / service.
- Company buying policies, financial constraints, timing of purchases.



Elements of Business Plan

3. Competitor Assessment :

- All businesses have competitors in some form. (similar products / product that serves same function).
- Define competitors, analyze their strengths and weaknesses, understanding of operations of competitors.
- If competitor has strong competitive advantage in an important area, then you need to address it.
- Review competitors in terms of :
 - Market share, Relationship with customers
 - Advertising Plan, Price, Distribution
 - Product / Service features
 - Financial Strength / cost position
 - Length of time in business



Elements of Business Plan

4. Marketing Plan :

Marketing plans address four areas: product offered, price charged, distribution system and promotional efforts.

a) Products and Services :

Product Description (What it is & What it does)

A web and mobile-based application that helps colleges manage:

- Student attendance (QR / biometric / GPS-based)
- Timetable scheduling
- Performance tracking
- Faculty-student communication

Features and Benefits

This information will make your business competitive and profitable.



Elements of Business Plan

b) Pricing :

- Pricing strategies are based on perceived value of products and services.
- Cost to produce your product or service.
- What other similar products sell for in the market.
- Describe whether price should be below or above the market price.
- Free trial for colleges
- Subscription: ₹10,000/year per institution

c) Distribution :

- Methods and channels of distribution
- Logistics management

Available on:

Google Play Store

Apple App Store

Web platform (official website)



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Elements of Business Plan

d) Promotion :

A combination of promotional tools like advertising, personal selling efforts and general public relations activities.

Social media ads on Instagram & LinkedIn

Free workshops/webinars in colleges

Referral programs (invite friends & earn premium access)

Target segment – what is the most effective and efficient way to get your message across.

Budget – invest in promotional activities

Timeline – when should you pursue the individual activities in the plan?

Creativity – low cost, creative promotion, expensive advertising campaign.



Elements of Business Plan

5. Operating Plan :

It deals with internal organizational structure, operations and equipment need to operate the venture.

a) Ownership and Management:

Partnership – who the partners are, how the decisions will be made

Corporation – composition and function of board of directors

Managers – turns idea into successful business. Select managers with technical, financial and managerial skills.

Provide a short profile of the key managers, consultants and outside advisors.

Describe how you will organize each person's responsibilities for the efficient operation of the business.

Job descriptions for each role, an organizational chart of the key employees .



Elements of Business Plan

b) Resources and Production:

- I. **Other Staffing:** number of required personnel, qualifications, compensations, job responsibilities and how you will manage right people.
- II. **Production Methods :** techniques, sourcing of required inputs, estimates of production costs, viability of technology, logistics of production.
- III. **Facilities and Equipment :** Estimation of what facilities and equipment you will use. Further modifications and usefulness of facility.
- IV. **Operations:** Operation schedule part time / full time/ certain seasons/ certain holidays.

Operational description should include policies and procedures, billing and collections, contract management, inventory control, record keeping.



Elements of Business Plan

c) Legal Issues:

- I. **Intellectual Property Protection:** Trademarks and service marks will protect company's marketing symbols. Patents protect product / service from imitators.
- II. **Compliance :** Every business is subject to local, state and federal regulations. State your plan for complying with relevant regulations.



Elements of Business Plan

6. Financial Plan:

- Describe the current financial status and present forecasts of future financial statements.
- Repayment terms, potential return on investment
- Projections are as good as assumptions so ensure they are valid and realistic.
- Forecasted income (monthly for first two years, then by quarter or year thereafter)
- Forecasted balance sheet for all years
- Break-even analysis
- Describe how funds will be used. Identify risks to your success and outline the activities that you will pursue to manage the risks.



Elements of Business Plan

7. Executive Summary:

Highlight the important aspects of your venture.

- Your mission and goals
- The product,
- The market and its potential,
- The marketing plan,
- The management team,
- Key elements of your operations,
- Funding requirements, profit and cash forecasts,
- Return to the investor.



Meaning of Project Feasibility

- Feasibility study- is an analysis of the viability of an idea.
- is an analysis of all possible solutions to a problem and a recommendation on the best solution to use.
- is a formal study to decide what type of system can be developed, which best the needs of the organization.
- A feasibility study is essentially a process for determining the viability of a proposed initiative or service and providing a framework and direction for its development and delivery.
- It evaluates project's potential for success.



Why Do Project Feasibility Study

- To find a solution that is cost effective from a business perspective.
- To Find a solution that is well recognized
- To find out the probable market for the products
- To find out the opportunities and threats as presented by environment
- To determine the probable income of operating the project
- To show the contributions the project can offer to the society



Steps in a Feasibility Study

1. Preliminary Analysis (Idea Screening):

Identify the business idea or project concept.

Check whether it aligns with market needs and organizational goals.

Eliminate unrealistic or impractical ideas at an early stage.

Example: A startup idea for a food delivery app must first assess whether there is demand and competition in the target area.

2. Market Feasibility

Analyze target customers, demand, and market trends.

Study competitors and their offerings.

Evaluate pricing strategies and market size.

Key Questions:

Who are the customers?

Is there enough demand?

What is the competition level?



Steps in a Feasibility Study

3. Technical Feasibility

Assess whether the required technology, equipment, and resources are available.

Evaluate production processes or service delivery systems.

Example: For an tech based project, check if required software, programming tools, and technical expertise are available.

4. Financial Feasibility

Estimate total costs (initial investment and operating costs).

Forecast revenues and profits.

Analyze financial viability using tools like break-even analysis.

Key Aspects:

Capital requirement

Expected return on investment (ROI)

Cash flow projections



Steps in a Feasibility Study

5. Legal Feasibility

Ensure the project complies with laws and regulations.

Check licenses, permits, and intellectual property rights (IPR).

Example: A business must comply with GST registration, company law, and data protection regulations.

6. Operational Feasibility

Determine whether the business can operate smoothly on a day-to-day basis.

Evaluate management capability, staffing, and workflow processes.

7. Schedule Feasibility (Time Feasibility)

Assess whether the project can be completed within a given timeframe.

Identify key milestones and deadlines.

Example: Can a software application be developed and launched within 6 months?



Steps in a Feasibility Study

8. Risk Analysis

Identify potential risks and uncertainties.

Develop contingency plans to handle risks.

Market risk

Financial risk

Technological failure

9. Final Evaluation and Decision Making

Compile all findings into a feasibility report.

Decide whether to:

- Proceed with the project

- Modify the plan

- Reject the idea



Types of Feasibility analysis

1. Market feasibility
2. Technical feasibility
3. Financial feasibility
4. Operational feasibility
5. Ecological feasibility



Types of Feasibility analysis

The **types of feasibility study** refer to different aspects of evaluating whether a business idea or project is viable. Each type focuses on a specific dimension of feasibility.

1. Market feasibility

The main objective of a market **research** feasibility study is to understand the market and determine whether enough demand exists to make the venture successful. Arguably, there isn't another type of market **research** report that offers more in-depth and thorough analysis than a market **research** feasibility study report.

Demand for an e-learning platform among students.



Types of Feasibility analysis

2. Technical Feasibility:

This assessment is based on an outline design of system requirements, to determine whether the company has the technical expertise to handle completion of the project. When writing a feasibility report, the following should be taken to consideration.

The technical feasibility assessment is focused on gaining an understanding of the present technical resources of the organization and their applicability to the expected needs of the proposed system. It is an evaluation of the hardware and software and how it meets the need of the proposed system.



Types of Feasibility analysis

3. Financial Feasibility:

In order to ascertain financial viability, financial projections are made and on the basis of such projections which need to be objective and realistic, the followings broad parameters are evaluated for determining the feasibility of the project-

- a. Return on Investment
- b. Payback period of the outlay
- c. Internal rate of return
- d. Profitability index.



Types of Feasibility analysis

4. Operational Feasibility:

Assesses how well the project will **function in real-life operations**.
Focuses on people, processes, and organizational capability.

Example: Whether employees can efficiently use a new software system.



Types of Feasibility analysis

5. Environmental Feasibility:

The environmental feasibility study considers both human and environmental health factors. The ES is a comparative process that looks at all potential solutions, and then evaluates them against specific criteria to ultimately find the best choice. It is a fact that external environment exerts considerable influence on the organizations. In fact the climatic conditions in a particular area/region have a significant impact on the existence of an enterprise. Therefore, it is necessary to ascertain the environment viability as well.



Thank You



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